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Special CPF Housing Grant

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HELPING LOW-INCOME FAMILIES OWN THEIR HOMES

To help low-income families own their first HDB flats, the Government is providing a new Special CPF Housing Grant (SHG) for families earning not more than \$2,250 a month. The grant ranges from \$5,000 to \$20,000 and will benefit about 1 in 4 citizen households.

The SHG is over and above the regular housing subsidy for new flats and the Additional CPF Housing Grant (AHG).

How much grant am I eligible for?

Average Monthly Household Income (12 months prior to application)	Amount of Grant		
	AHG* [Current]	SHG [New]	Total
Not more than \$1,500	\$40,000	\$20,000	\$60,000
\$1,501 to \$1,750	\$35,000	\$15,000	\$50,000
\$1,751 to \$2,000	\$35,000	\$10,000	\$45,000
\$2,001 to \$2,250	\$30,000	\$5,000	\$35,000

Note: * AHG is available for all flat types, regardless whether the flat is bought from the HDB or the open market, or a flat under the Design, Build and Sell Scheme (DBSS) from the private developer.

What type of HDB flat can I buy with the SHG?

The SHG can only be used to purchase 2-room and 3-room standard flats in non-mature estates from HDB. For financial prudence, families with monthly income not more than \$1,500 can only use the SHG to buy 2-room standard flats in non-mature estates from HDB.

Average Monthly Household Income (12 months prior to application)	SHG's Eligible Flat Types
Not more than \$1,500	2-room standard flats in the non-mature estates from HDB
\$1,501 to \$1,750	2-room or 3-room standard flats in the non-mature estates from HDB
\$1,751 to \$2,000	
\$2,001 to \$2,250	3-room standard flats in the non-mature estates from HDB #

Note: # The current income ceiling for 2-room flats is set at \$2,000 per month.

How does this grant benefit me?

The SHG makes owning an HDB flat within reach for more low-income families by reducing the housing loan amount they would need to take.

For instance, a family with a monthly household income of \$1,000 will likely be able to service a loan for their new 2-room flat, priced at \$100,000, via their CPF Ordinary Account Savings contribution. As opposed to renting, there is no need for cash payment.

Monthly Household Income - \$1,000 (with \$5,000 savings in CPF Ordinary Account)	
Without Special Housing Grant	With Special CPF Housing Grant
Public Rental	2-Room BTO Flat Cost of Flat = \$100,000 ¹ Grants = \$40,000 (AHG) + \$20,000 (SHG) HDB Loan = \$35,000 Loan Instalment = \$140 (paid via CPF OA)
Cash to Pay = \$110	Cash to Pay = \$0

¹ Average selling price of a new 2-room BTO flat

Check if you qualify

- Your average monthly household income for 12 months prior to flat application is not more than \$2,250
- You must stay employed for at least one year before the flat purchase to show that you have the ability to service your housing loan
- You must meet the eligibility conditions to buy an HDB flat

What are the other measures for low-income households?

Despite the extensive subsidies, there may still be some households who find it difficult to own a home. HDB's heavily subsidised public rental flats are the final safety net for these needy families.

To speed up allocation of public rental flats to this group, eligibility rules for rental flats have been tightened to safeguard them for the truly needy.

HDB has also been building new rental flats since 2007 to bring the total supply of rental flats to 50,000 by 2012. Through these measures, the waiting time for rental flats has been shortened from an average of 21 months in 2008, to about 8 months currently.

An interim rental housing initiative has also been introduced to assist low-income families with short-term accommodation needs while they seek longer term housing. These are vacated blocks leased to private operators and two families are required to share a 3-room flat. The rents are below that of the market.

For queries, please call HDB's Sales/Resale Customer Service Line: **1800-8663066** (Weekdays: 8.00am - 5.00pm), or email at hdbsales@hdb.gov.sg or hdbresale@hdb.gov.sg.